From 1969, the bank began formulating schemes for direct financing of agriculture. Under the Small Farmers' Scheme, farmers whose business was viable or those which were likely to become viable as a result of being loaned money were eligible for finance. Assistance under the scheme covered loans for working capital for purchase of fertilizers, pesticides, and seeds. Farmers were also eligible for installment credit for purchases of agricultural implements, pump sets, and the like. Loans under the scheme were preferably granted on a group borrowing basis and while loans were granted to individuals, these were secured by the guarantee of all farmers in the group.[13]

Direct finance to the farmers was provided by the bank under various schemes tailor-made for different agricultural activities. Under the crop loan scheme, finance was provided according to land holding size for the purchase of essential inputs such as seeds, manures, and pesticides. Under the installment credit schemes, finance was provided for purchasing tractors, pump sets, and other farm machinery which was hypothecated to the bank. A part of the cost was borne by the farmers as margin and the balance paid to the dealer directly by the bank.[14]

Farmers who came to the bank for finance were scattered over a wide area. This greatly stretched the manpower resources of the bank. Apart from difficulties in follow-up, this also resulted in a higher cost of operations. To overcome this and make the best use of the schemes launched by the bank, the bank evolved an area approach in 1969. A compact area comprising a cluster of villages was selected and need-based credit extended to all viable and potentially viable farmers in the area. This approach resulted in two innovations: the Village Adoption Scheme and the Agricultural Development Branches (ADB).[15]

Under the Village Adoption Scheme, a village or a cluster of villages was selected and a suitable programme formulated for extending need-based credit to all viable activities irrespective of the size of landholding. Group guarantees were a part of this scheme. The greatest advantage was that this scheme required only limited manpower and there was savings in administrative expenses on follow-up and supervision. In the very first year, the bank adopted nearly 200 villages, and by September 1970, the number was 880.[16]